

Deliverable 4: Final Visuals, Storytelling & Executive Report

Understanding Revenue Drivers and Customer Purchasing Behaviour in an Online Retail Business

Executive Summary

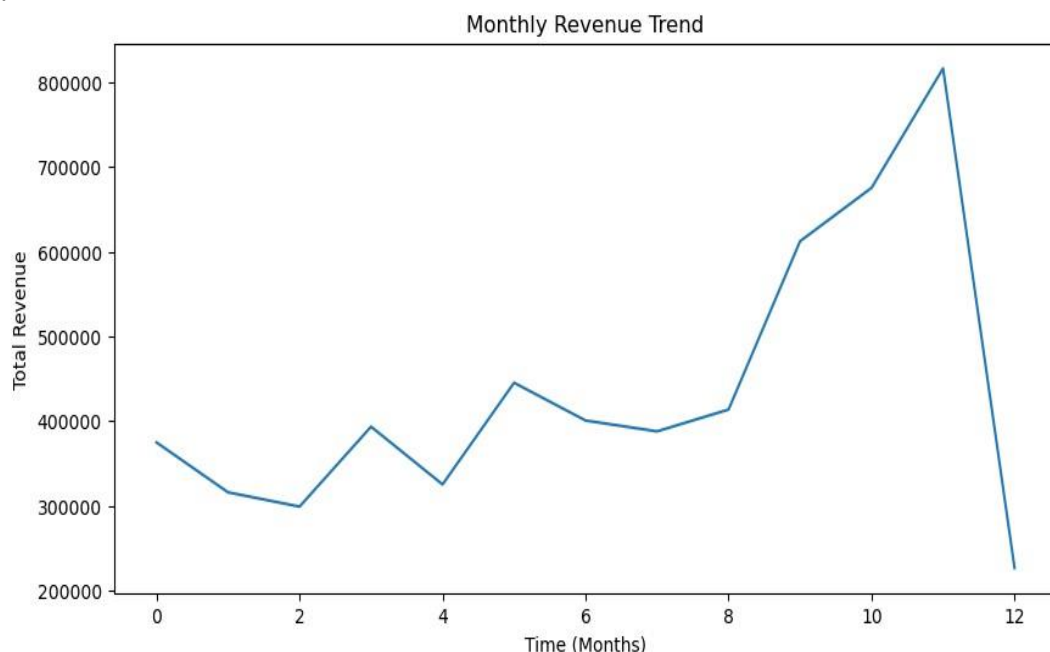
This report translates the analytical findings from the project into clear business insights and actionable recommendations. Using transactional data from an online retail company, we examined how revenue changes over time, which products and countries drive the most revenue, and whether repeat customers contribute more value than one-time buyers. Overall, the business shows strong revenue concentration in a small set of products and a heavy reliance on the United Kingdom market. Revenue also grows toward the later months of the year, suggesting seasonality. Repeat customers generate higher average revenue, confirming customer loyalty as a key driver of business performance.

What Happened?

Several important patterns were observed:

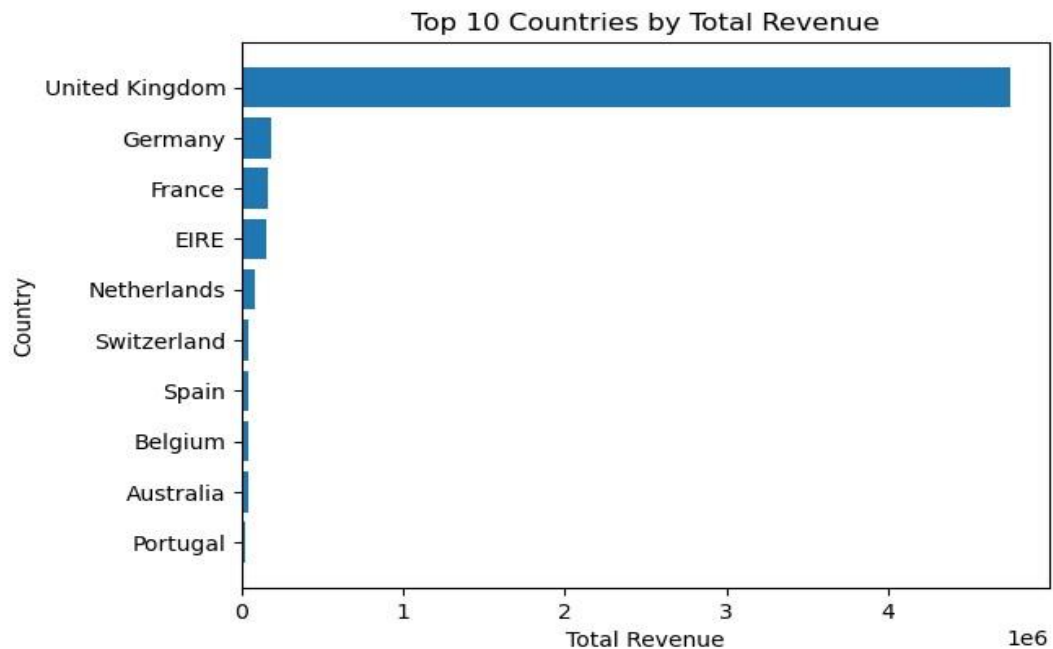
- Revenue increases significantly toward the end of the year.
- A small group of products generates a large share of total revenue.
- The United Kingdom dominates revenue compared to other countries.
- Repeat customers spend more on average than one-time customers.

These findings reveal that revenue is not evenly distributed across time, products, or customer groups.



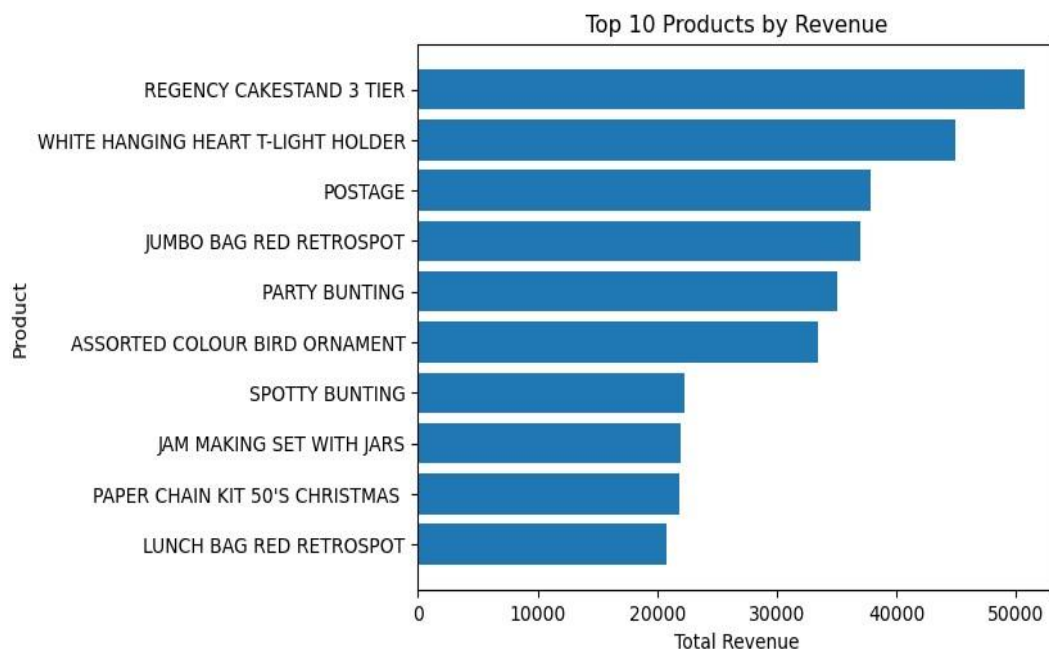
Monthly Revenue Trend:

Revenue gradually rises across the year and peaks in the later months before dropping sharply at the final point, likely due to incomplete data for the last month. This pattern suggests strong seasonality, possibly linked to holidays and year-end shopping behavior.



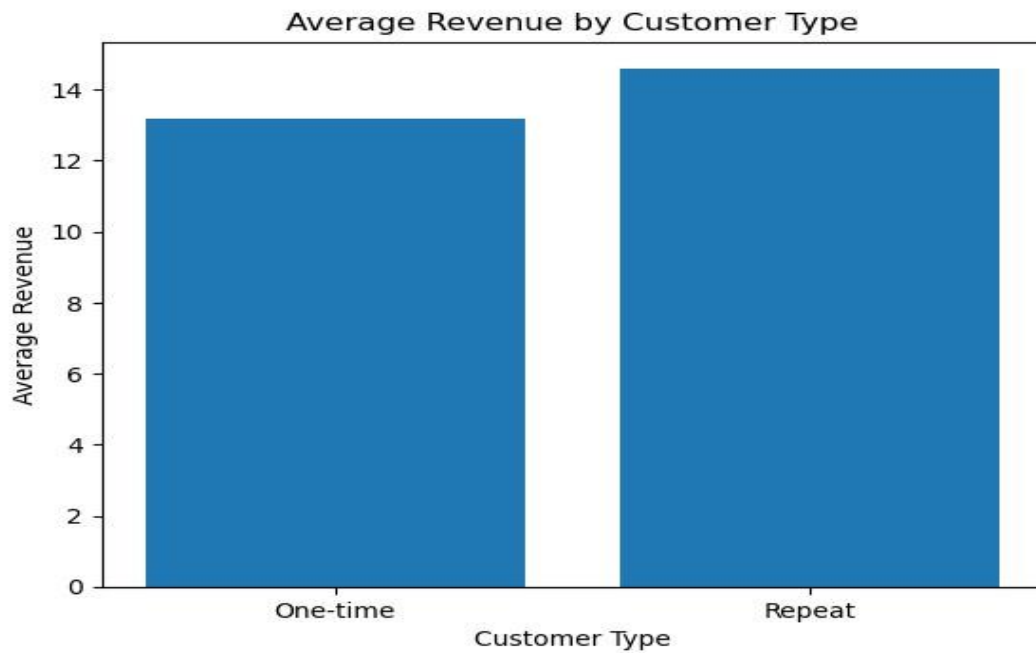
Top Countries by Revenue:

The United Kingdom overwhelmingly contributes the largest share of total revenue. Other countries such as Germany, France, and EIRE contribute much smaller amounts. This indicates strong dependence on a single geographic market.



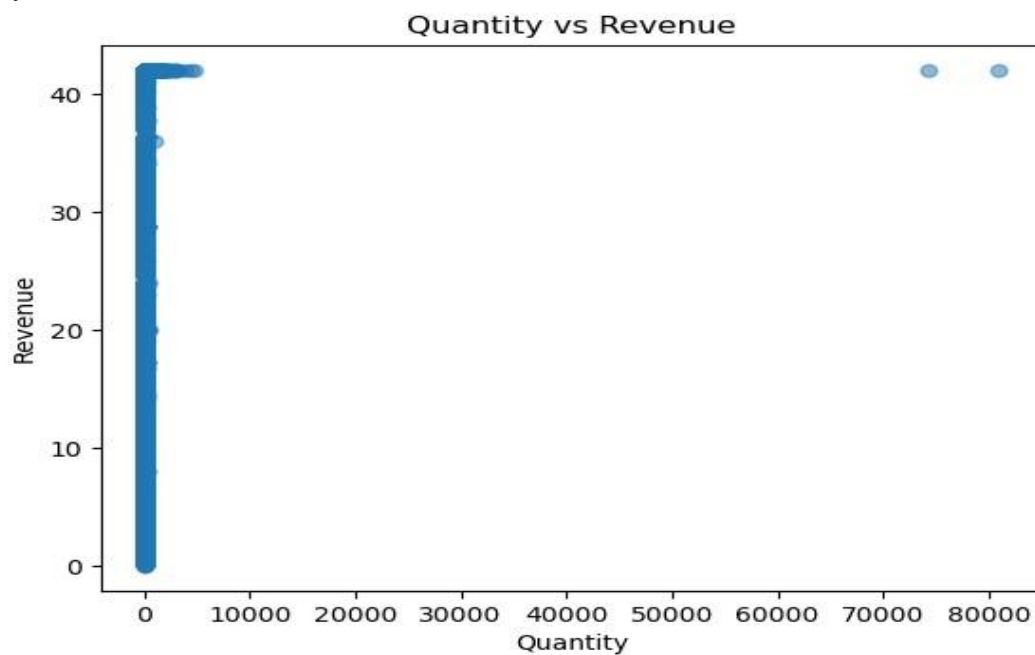
Top Products by Revenue:

Products like "REGENCY CAKESTAND 3 TIER" and "WHITE HANGING HEART T-LIGHT HOLDER" generate the highest revenue. This shows that a limited number of high-performing products drive a significant portion of sales.



Average Revenue by Customer Type:

Repeat customers have higher average revenue compared to one-time customers. This confirms that loyal customers are more valuable to the business.



Quantity vs Revenue: Most transactions involve low quantities, but a few high-quantity purchases generate large revenue. This indicates occasional bulk purchases and the presence of high-value orders.

Why Did It Happen?

- Seasonal demand increases during holidays and year-end periods.
 - Popular products meet strong customer preferences and repeat demand.
 - UK dominance reflects a primarily UK-based customer base.
 - Repeat customers build familiarity and trust, leading to higher spending.
- These business and behavioral factors explain the observed trends.

What Does This Mean?

The business is highly dependent on:

- A small group of best-selling products
- One main geographic market
- Repeat customers

While this concentration creates strong revenue streams, it also presents risk if any of these drivers weaken.

What Should Be Done Next?

1. Strengthen Customer Loyalty Programs: Encourage repeat purchases through discounts, loyalty points, and personalized offers.
2. Expand High-Performing Product Lines Increase inventory and marketing around top products.
3. Diversify Geographic Markets: Invest in marketing and logistics for other countries to reduce reliance on the UK.
4. Plan for Seasonal Peaks: Prepare inventory and staffing ahead of high-demand months.
5. Monitor High-Value Orders: Identify bulk-buying customers and offer tailored business-to-business deals.